BUYER GUIDE

Austin Closing Costs Explained: A Complete Line-Item Breakdown for Buyers

August 24, 2026 | 9 min read | Seymour Realty Group

THE SHORT ANSWER

Austin homebuyers typically pay 2% to 5% of the purchase price in closing costs, separate from the down payment — on a $500,000 home, that's roughly $10,000 to $25,000.

Buyers spend weeks preparing for the down payment. Far fewer spend any real time preparing for the second number that shows up at the closing table — closing costs — and it's the one that catches first-time buyers off guard almost every time.

Closing costs are not a single fee. They are a collection of a dozen or more separate charges, from a handful of different parties, each doing a specific piece of work to get a title transferred cleanly and a loan funded correctly.

What Closing Costs Actually Are

Closing costs are the fees required to legally and financially complete a real estate transaction, separate from the purchase price and down payment. In Austin, buyers typically pay 2% to 5% of the purchase price in closing costs — on a $500,000 home, that's roughly $10,000 to $25,000.

Lender Fees

Origination fees cover the lender's cost of processing, underwriting, and funding the loan, typically 0.5% to 1% of the loan amount. Discount points, if used, typically cost 1% of the loan amount per point and lower your rate by roughly a quarter point. Appraisal ($500-$700) and credit report fees ($30-$100) are smaller, largely fixed costs.

Title and Escrow Fees

Title insurance protects the lender (lender's policy) and you (owner's policy) against a future claim on ownership. In Texas, premiums are state-regulated and not negotiable in price, but you can shop which title company you use. The escrow/settlement fee, covering the title company's coordination work, typically runs $300-$700. Recording fees, paid to the county, are typically under $200.

Prepaid Items

Prepaid property taxes and homeowners insurance fund your escrow account. Depending on your closing date, you may prepay several months of property taxes — a significant cost given Austin-area tax rates. Prepaid interest covers the days between closing and your first payment. The first year of homeowners insurance is also typically paid in full at closing.

What's Negotiable and What Isn't

Title insurance premiums are fixed by the state, but which title company you use is your choice. Lender fees vary meaningfully between lenders. Seller concessions — funds a seller contributes toward your closing costs — are often the biggest lever for reducing cash needed at the table.

How to Estimate Your Cash to Close

Your lender must provide a Loan Estimate within three business days of application, and a Closing Disclosure at least three business days before closing. A simple early rule of thumb: set aside 3% of your target purchase price for closing costs, in addition to your down payment.

FREQUENTLY ASKED QUESTIONS

How much are closing costs in Austin, Texas?

Austin buyers typically pay 2% to 5% of the purchase price in closing costs, separate from the down payment — roughly $10,000 to $25,000 on a $500,000 home, depending on loan type, lender fees, title company, and prepaid items.

What is included in closing costs when buying a house?

Lender fees (origination, underwriting, points), title insurance and escrow fees, government recording fees, and prepaid items like property taxes, homeowners insurance, and daily interest before your first mortgage payment.

Can you negotiate closing costs in Texas?

Title insurance premiums are state-regulated and not negotiable, but you can shop title companies for adjacent fees. Lender fees vary between lenders, and seller concessions negotiated into your offer are often the biggest lever.

Who pays closing costs, the buyer or the seller?

Buyers and sellers each typically pay their own set of closing costs — buyers generally cover lender fees, buyer's title insurance, and prepaid items, while sellers cover their own title work and commissions. The split is set in the purchase contract and can be negotiated.

When do I find out my exact closing costs?

Lenders must provide a Loan Estimate within three business days of application and a Closing Disclosure at least three business days before closing with final, binding numbers.